

Trent Q2FY23 Standalone results were in line with our expectations on topline however EBIDTA was a miss on account of higher opening of Zudio stores. Q2FY23 CAGR over Q1FY20 was 30%

- Revenue recorded 78% growth on YoY basis to Rs 18136.1mn aided by strong store additions and 20% LFL over Q1FY20 growth in Westside.
- Store count for Q2FY23 stood at 500 (~210 Westside and 290Zudio) as against 338 last year (191 Westside and 147 Zudio). Overall sq foot for fashion stores in Q2FY23 increased by ~33% to 6.12mn (Q1FY23 Store Count was 450)
- EBIDTA** margins stood at 14.8% as against 22% YoY which attributed to higher sale from Zudio and higher store openings wherein lot of costs are front-loaded wherein the through-put is high but gross margins are lower.
- Raw Materials to Revenue**, due to higher contribution from Zudio, stood at 53% as against 47.9% YoY and 50.7% in Q1FY23. (Q2FY20 was 20%)
- Employee Cost** too on a QoQ basis was up by 28.6% due to rise in number of stores.
- Depreciation:** revised estimates with respect to the useful life of certain stores, resulted in an additional depreciation charge of Rs 86.4mn
- PBIT margins (ex of Indian As Impact and non-operating income) stood at Rs 1930mn as against Rs 1800mn QoQ and Rs 1370mn YoY*
- PAT stood at 1858mn up 37.1% YoY and 81.1% QoQ. This was aided by 77% growth in other income on a YoY basis and 304.8% on a QoQ basis. Other Income of Rs 1680.2mn. Other Income at Rs 1680.2mn includes Rs 980mn dividend from investment in JV's and Subs mainly Zara.
- PAT CAGR over Q1FY20 is 62%**

Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	1,454	2

Market data

Current price	Rs	1,419
Market Cap (Rs.Bn)	(Rs Bn)	504
Market Cap (US\$ Mn)	(US\$ Mn)	6,166
Face Value	Rs	1
52 Weeks High/Low	Rs	1,571 / 971
Average Daily Volume	('000)	597
BSE Code		500251
Bloomberg		TRENT.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Jun-22	Mar-22
Promoters	37.01	37.01
Public	62.99	62.99
Total	100	100

Source: Bloomberg

Financial Summary Standalone

Y/E Mar (Rs mn)	FY20	FY21	FY22	FY23e	FY24e
Netsales	31,777	20,475	38,807	68,844	84,298
% Growth	25.5	(35.6)	89.5	77.4	22.4
EBIDTA	5,632	2,926	6,983	11,255	14,333
Margins	18	14	18	16	17
PAT	1,546.0	(510.2)	2,598.0	4,494.8	6,152.2
growth (%)	21.0	(133.0)	(609.2)	73.0	36.9
EPS	4.3	(1.4)	7.3	12.6	17.3
P/E (x)	326.0	(987.9)	194.0	112.1	81.9
P/B (x)	20.2	20.0	18.5	16.2	13.7
EV/EBITDA (x)	90.0	172.0	72.8	45.2	35.4
ROCE (%)	11.9	2.3	12.9	18.7	21.9
RoE (%)	6.2	(2.0)	9.6	14.4	16.8

Source: Dalal and Broacha

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Outlook

- **Trent's longer-term focus** is to be a "*Portfolio of Brands*" which are originated and scalable, like Westside and Zudio that are now both profitable and sustainable business models.
- Management aim is to grow at CAGR of 25%+ and maintain atleast 10% EBIT margins (pre-Ind-As) is being delivered consistently.

Consolidated Results

- **Revenue** grew by 66% YoY to Rs 19527.4mn (QoQ +8%)
- **EBIDTA margins stood at 13% v/s 18% YoY and 16% QoQ**
- PAT adjusted owners shares stood at Rs 930.2mn flat YoY and profit of Rs drop on 29% on a QoQ basis
- Share of Profits from JV and Associates stood at Rs 139.6mn +39% YoY and down by 59% on a QoQ basis

Other KTA's

- Westside Revenue +20% over Q2FY20
- Emerging Category contribute 15% to Standalone Revenue i.e beauty and personal care, innerwear and footwear
- Online Sales Westside.com, Tatacliq and Tata Neu = 6%, grew by 32% YoY
- IND AS 116 impact = Rs 260mn Standalone || Rs 290mn in consolidated
- **Other Income** mainly includes Pft on Sale of Fixed Assets and IND-As 116 impact
- **STAR Business:** registers highest-ever quarterly revenues | 14% CAGR over Q2 FY20
- **Chairman NOEL TATA comments:** continue to expand our reach with vigour and reinforce our lifestyle offerings across concepts, categories and channels.

Quarterly Financials

TRENT Particulars (Rs Mns)	Q2FY23	Q2FY22	YoY Growth	Q1FY23	QoQ Growth
Revenue	18,136.1	10,204.2	77.7%	16,528.6	9.7%
Raw Material	9,619.0	4,886.7	96.8%	8,377.4	14.8%
Employee Cost	1,481.0	762.3	94.3%	1,151.2	28.6%
Rent Exps	1,783.1	840.6		1,657.6	
Other Expenses	2,577.7	1,501.9	71.6%	2,301.3	12.0%
EBIDTA	2,675.3	2,212.7	20.9%	3,041.1	-12.0%
Depreciation	1,043.0	666.1	56.6%	1,201.9	-13.2%
Interest	880.1	725.9	21.2%	924.7	-4.8%
PBT (before O.Inc & Exceptional)	752.2	820.6	-8.3%	914.5	-17.7%
Other Income	1,680.2	948.7	77.1%	415.1	304.8%
Exceptional Items		-130.1	-100.0%		
PBT Reported	2,432.4	1,639.2	48.4%	1,329.6	82.9%
PAT (reported)	1,858.5	1,256.2	47.9%	1,026.2	81.1%
Adjusted PAT	1,858.5	1,355.9	37.1%	1,026.2	81.1%
Equity	355.49	355.49	0.0%	355.49	0.0%
EPS (on adj)	5.23	3.81	37.1%	2.89	81.1%
Tax Rate	24%	23%		23%	
% to Revenue					
Raw Material	53%	48%		51%	
Other Expenses	14%	15%		14%	
EBIDTA Margins	15%	22%		18%	
PBIT (Ex Ind-As)	1930	1370	41%	1800	7.2%
PBIT Margins (Pre Ind-As)	11%	13%		11%	
Westside S tore	210	191	10%	209	0.5%
Zudio S tore	290	147	97%	241	20.3%
Total S tores	500	338	48%	450	11.1%
CONDOLIDATED	Q2FY23	Q2FY22	YoY Growth	Q1FY23	QoQ Growth
Revenue	19527.40	11780.89	66%	18031.50	8%
EBIDTA Margins	13%	18%		16%	
PAT (owners share)	930.20	925.75	0%	1305.10	-29%
Sh of Pft/Loss of J V	139.60	100.11	39%	340.10	-59%

Source: Company

Outlook and valuations

Trent SOTP Method					
Segment	Particulars	FY25	Metric	Multiple (X)	Value/ Per Share Contribution
Weside + Zudio	PAT Standalone (Rs Mns)	7456	P/E	55	410,055
Star Bazaar 50% JV	Sales (Rs Mns)	13957	P/Sales	3	41,870
Zara Trents Share 49%	PAT (Rs Mns)	1603	P/E	30	48,088
Booker India 51%	Sales (Rs Mns)	6409	P/Sales	2	12,819
Less: Debt (Rs Mns)					5,474
Add: Cash + Invest (Rs Mns)					9,618
less Inv in Subs					
Total Value in Mns					516,976
NO. of Shares (In Mns)					355
Value Per Share Rs					1,454
CMP					1,418
Upside					3%

Trent for Q2FY23 grew at a CAGR (over Q1FY20) of 30%+ in Revenue and 62%+ on PAT. With the aggressive store expansion, right product mix we expect this business to consistently deliver CAGR of 20%+ for couple of years.

Trent's one quarter Revenue (i.e. Q2FY23 Revenue of Rs 18136mn) is more than its FY17 full year Revenue of Rs 17165mn. Westside reaching a run-rate of Rs 50bn indicates a strong execution capability the management has in taking the business to next level.

This aggression supported by strong balance-sheet with Net Debt-free status and strong brand-presence across verticals aided with TATA-group's strong focus on consumer business are factors that would support its premium valuations.

We rollover our estimates to FY25 and Based on our SOTP valuation we arrive at a target price of Rs 1,454 (i.e 12-15 months perspective). We believe that the down-side in the stock is limited as the company has strong sustainable business model with very high growth potential. Market volatility should be used to **"Buy the stock on Dips"** with long-term perspective.

Financial

STANDALONE											
P&L (Rs mn)	FY20	FY21	FY22	FY23E	FY24E	Cash Flow St. (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Net Sales	31,776.7	20,475.3	38,807.3	68,844.0	84,297.6	Net Profit	1,545.9	(510.2)	2,496.3	4,494.8	6,152.2
Cost of sales	(26,144.7)	(17,549.1)	(31,824.5)	(57,588.5)	(69,964.5)	Add: Dep. & Amort.	2,311.2	2,358.7	2,830.8	4,406.2	5,109.6
Operating Profit	5,632.0	2,926.2	6,982.8	11,255.5	14,333.1	Cash profits (Inc)/Dec in	3,857.1	1,848.5	5,327.1	8,901.0	11,261.8
Depreciation	(2,311.2)	(2,358.7)	(2,830.8)	(4,406.2)	(5,109.6)	Sundry debtors	8.0	(72.4)	42.4	(126.9)	(65.2)
PBIT	3,320.8	567.5	4,152.0	6,849.3	9,223.5	Inventories	(971.2)	1,919.5	(4,278.8)	(6,392.6)	(3,283.0)
Other income	1,517.6	1,154.3	2,142.3	2,640.5	2,810.0	Loans/Advances	(503.2)	(345.2)	(688.7)	(815.8)	(1,162.0)
Interest	(2,382.9)	(2,379.8)	(2,932.7)	(3,483.1)	(3,812.0)	Current Liab and Provisions	(268.1)	2,428.9	(1,058.5)	3,101.1	1,690.9
Profit before tax	2,455.5	(658.0)	3,361.6	6,006.7	8,221.5	Change in working capital	(1,734.5)	3,930.8	(5,983.6)	(4,234.3)	(2,819.2)
Exceptional and Extra Ordinary Itc	(0.3)	(63.4)	(131.6)	-	-	CF from Oper. activities	2,122.6	5,779.2	(656.4)	4,666.7	8,442.6
PBT (Post Extra Ordinary)	2,455.3	(721.4)	3,230.0	6,006.7	8,221.5	CF from Inv. activities	(28,261.1)	(6,741.2)	(18,731.3)	(3,532.4)	(9,597.7)
Provision for tax	(909.4)	211.2	(733.7)	(1,511.9)	(2,069.4)	CF from Fin. activities	26,069.5	1,190.6	19,467.7	(1,572.2)	3,441.2
Reported PAT	1,545.9	(510.2)	2,496.3	4,494.8	6,152.2	Cash generated/(utilised)	(69.0)	228.7	79.9	(437.9)	2,286.1
MI	-	-	-	-	-	Cash at start of the year	509.5	440.5	669.2	749.2	311.3
Adjusted PAT	1,546.0	(510.2)	2,598.0	4,494.8	6,152.2	Cash at end of the year	440.5	669.2	749.2	311.3	2,597.4

Balance Sheet	FY20	FY21	FY22	FY23E	FY24E	Ratios	FY20	FY21	FY22	FY23E	FY24E
Equity capital	355.5	355.5	355.5	355.5	355.5	OPM	17.7	14.3	18.0	16.3	17.0
Reserves	24,634.4	24,803.1	26,844.9	30,770.9	36,318.8	NPM	4.6	(2.4)	6.3	6.3	7.1
Net worth	24,989.9	25,158.6	27,200.4	31,126.4	36,674.3	Tax rate	(37.0)	(32.1)	(21.8)	(25.2)	(25.2)
Non Current Liabilities	24,696.9	25,174.8	45,312.7	44,386.9	48,464.3	Growth Ratios (%)					
Current Liabilities	4,264.1	6,737.3	5,608.4	9,076.1	10,735.1	Net Sales	25.5	(35.6)	89.5	77.4	22.4
CAPITAL EMPLOYED	53,950.9	57,070.7	78,121.5	84,589.3	95,873.7	Operating Profit	138.1	(48.0)	138.6	61.2	27.3
Non Current Assets	36,768.4	41,817.4	59,588.9	61,657.2	66,148.8	PBIT	74.7	(82.9)	631.6	65.0	34.7
Fixed Assets	26,413.9	29,572.8	45,525.8	48,378.5	52,866.6	PAT	21.0	(133.0)	(609.2)	73.0	36.9
Non Current Investments	9,268.5	11,146.1	12,821.9	11,591.7	11,591.7	Per Share (Rs.)					
Deferred Tax Asset	1,069.5	1,080.1	1,225.3	1,669.5	1,669.5	Net Earnings (EPS)	4.3	(1.4)	7.3	12.6	17.3
Long Term Loans and Advances	16.4	18.4	15.9	17.5	21.0	Cash Earnings (CPS)	10.9	5.2	15.3	25.0	31.7
Current Assets	17,182.5	15,253.4	18,532.6	22,932.1	29,724.9	Dividend	1.0	0.6	1.7	1.6	1.6
Current investments	6,799.7	6,145.7	4,417.4	1,921.1	1,921.1	Book Value	70.3	70.8	76.5	87.6	103.2
Inventories	5,865.2	3,945.7	8,224.5	14,617.1	17,900.1	Free Cash Flow	(73.5)	(2.7)	(54.5)	3.2	(3.2)
Trade Receivables	133.3	205.7	163.3	290.2	355.4	Valuation Ratios					
Cash and Bank Balances	440.5	669.2	749.2	311.3	2,597.4	P/E(x)	326.0	(987.9)	194.0	112.1	81.9
Short Term Loans and Advances	856.6	749.2	261.5	164.6	197.5	P/B(x)	20.2	20.0	18.5	16.2	13.7
Other Current Assets	3,087.2	3,537.8	4,716.7	5,627.8	6,753.4	EV/EBIDTA(x)	90.0	172.0	72.8	45.2	35.4
CAPITAL DEPLOYED	53,950.9	57,070.7	78,121.5	84,589.3	95,873.7	Div. Yield(%)	0.1	0.0	0.1	0.1	0.1
						FCF Yield(%)	(5.2)	(0.2)	(3.8)	0.2	(0.2)
						Return Ratios (%)					
						ROE	6.2	(2.0)	9.6	14.4	16.8
						ROCE	11.9	2.3	12.9	18.7	21.9

Source: Dalal & Broacha Research, Company

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